

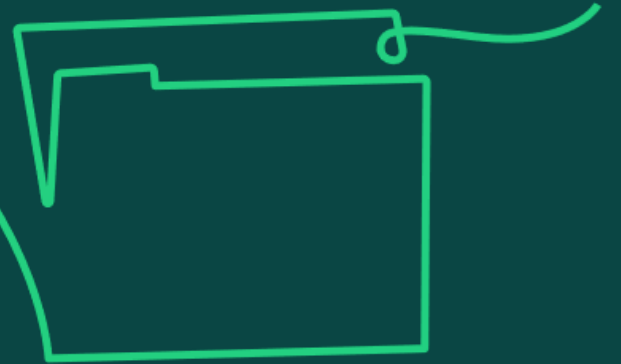
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Business case

Learning objective:

4. Understand a business case as the justification for the initiation, investment and/or continuation of a project in terms of benefits, costs and risks.

4a) Knowledge of the tools and techniques used to determine factors which influence and impact a project's business case (including PESTLE, SWOT and VUCA).



Five elements of the business case

Strategic context: The compelling case for change.

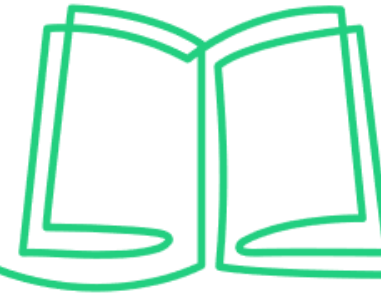
Economic analysis: Return on investment based on investment appraisal of options.

Commercial approach: Derived from the procurement strategy.

Financial case: Affordability to the organisation in the time frame.

Management approach: Roles, governance structure, life cycle choice, etc.

Tools and techniques



PESTLE

- The Political, Economic, Sociological, Technical, Legal and Environmental influences that could impact the project.

SWOT

- The Strengths, Weaknesses, Opportunities and Threats relating to the project.

VUCA

- The Volatility, Uncertainty, Complexity and Ambiguity relating to the project.

SWOT



SWOT

Strengths

Consider the strengths of the organisation, and their influence / impact on the project.

Weaknesses

Consider the weaknesses of the organisation, and their influence / impact on the project and the risk they might pose.

Opportunities

Consider the elements in the world outside the organisation that the project could exploit.

Threats

Consider the external elements outside the organisation that could be problematic for the project and the risk they might pose.

PESTLE

Select two PESTLE factors and consider how these might impact your project

Political

- Might lobbying or a change of government impact the project?
- What about local government policies?
- Office politics?

Economic

- Is the project subject to market volatility, exchange rates, inflation, etc.?
- Availability of funding vs Financial Benefits

Social

- Will the project impact on people's health or living standards?
- Will It require a change in behaviour, attitudes to things?

Technological

- How mature is the current technology? Will it support our proposed solution?
- Is technology likely to change?

Legal

- Is new legislation likely? Is contract law or employment law a factor?
- Internal policies which may constrain us?

Environmental

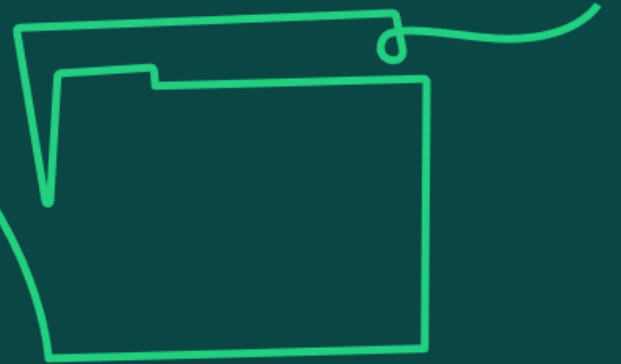
- Does the project have an environmental impact?
- Sustainability issues

VUCA

Factor	Description		Response	Description
Volatility -	the nature, dynamics and speed of change – things are happening fast and in unpredictable and non-repeatable ways eg Material prices due to market turmoil	V	Vision	Accept and embrace change, keep your end goal in mind
Uncertainty	the lack of predictability and likelihood of surprise – the past is not an accurate predictor of the future.	U	Understanding	Pause for thought, invest in analysis of the environment
Complexity	the multiple forces, chaos and confusion – there are so many factors involved it's difficult to know what affects what	C	Clarity	One person can't understand all, so develop teams & communicate well
Ambiguity	the fuzziness of reality, potential for misreads, and cause and effect confusion – who, what, when, where, how and why is unclear	A	Agility	Plan ahead in small chunks, be flexible, build in contingency



4b) Understand the importance of regularly reviewing the impact of any changes in a project to the business case and know that the business case forms the baseline for the project.



Baseline and reviews of the business case

- The business case justifies the initial and continued investment in the project and enables the project manager to agree success criteria with the project sponsor and other stakeholders.
- It provides a record of decisions made by governance and documents the options considered.
- As a document, it will be reviewed periodically and at decision gates throughout the life cycle to ensure the investment remains aligned to expected benefits.
- In the definition and deployment phases, the business case can be reviewed against progress made, as well as checking progress against the benefits outlined.
- The project manager will use the business case, which defines why the project is needed, as the starting point for developing the project management plan.
- If the benefits are no longer viable, then the senior management team may stop the project.



Photo credit: Dylan Gillis